

Private Foundations vs. Donor-Advised Funds

INTRODUCTION

Choosing the right structure to facilitate your giving can be as important as choosing causes to support. At J.P. Morgan, our dedicated team provides clear guidance and can connect you to the right resources—all in service of helping you maximize your philanthropic impact in a way that makes sense for your overall wealth plan as well.

Private foundations and donor-advised funds are two common vehicles for organizing your charitable giving. Both allow you to segregate and designate funds permanently for charitable purposes, and both can serve as platforms for creating a legacy for your family. How you use either or both vehicles depends largely on your appetite for engagement, control and resource allocation.

Private foundations often are created to fulfill one individual's or one family's philanthropic intent. The purpose of the foundation may be very specific to a cause or geographic location, or it can be open ended to allow for revisions across generations. Private foundations can employ a staff, administer programs directly and offer services to the nonprofit sector as dictated by its board of directors or trustees.

Donor-advised funds (DAFs) are separately identified accounts that are controlled, maintained and operated by nonprofit sponsoring organizations. Donors, or the donors' representatives, retain advisory privileges with respect to the distribution of funds and the investment of assets in the accounts. DAFs support the full range of charitable causes and can be structured to exist in perpetuity.

COMPARING PRIVATE FOUNDATIONS AND DAFs

The chart below provides further details on the differences and considerations to take into account when deciding which charitable vehicle is best for you.

	Private Foundations	DAFs
Governance and succession	Board of directors or trustees sets general purpose and is responsible for operations based on by-laws or trust instrument Board defines parameters for succession and perpetuity, including ongoing donor family participation and control	Donors may name advisors to recommend grants and investments Donors may also name successor advisors to the account to ensure a continuing legacy
Control of grants and assets	Board has complete control of all grantmaking and investment decisions, subject to self-dealing and prudent investment rules	Donors may recommend, but not direct, grants and investment allocations to a sponsoring organization, which reviews and makes all final decisions

Startup costs and timing	Startup is generally managed by an attorney or accountant to adhere to IRS and state Attorney General filing requirements Generally takes several weeks or a few months to be formally approved by the IRS, but can operate immediately based on good faith effort to adhere to federal tax law	Typically none and can be established immediately
Privacy	Files federal tax returns that are available for public review. Returns include information on donors, grants, investments fees, director or trustee fees, staff salaries, etc.	Sponsoring organization files informational tax returns with the IRS Donor names may be disclosed to the IRS, but are not made available to the public
Ongoing administrative management	Staffing generally based on scope and scale of grant making; must file annual federal tax returns and adhere to state requirements for nonprofit corporations or charitable trusts	Varies according to the sponsoring organization and level of services
Excise tax (on investment income)	1.39% of net investment income annually*	None
Tax deduction limits for gifts of cash**	30% of adjusted gross income	Up to 60% of adjusted gross income
Tax deduction limits for gifts of appreciated property**	20% of adjusted gross income	30% of adjusted gross income
Valuation of gifts (subject to holding period considerations)	Generally, fair market value for gifts of cash and publicly traded stock, and cost basis for gifts of closely held stock or real property	Fair market value
Distribution requirements	Generally, 5% minimum distribution is required, based on investment returns adjusted by income and investment tax payments, charitable expenses and distribution over five years	None

* Tax years beginning after December 20, 2019.

** Any unused deductions may be carried forward up to five (5) additional years.

Note: A gift to a DAF generates the same tax deduction as an outright gift to charity. This table assumes that all property has been held by the donor for more than one year. Federal tax law limits the deductible amount of charitable gifts depending on the asset given, the donor's adjusted gross income (AGI), and the status of the charity receiving the gift.

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HOW J.P. MORGAN CAN HELP

Clients do not necessarily need to choose between a private foundation or a DAF for organizing charitable giving. For some, having both may be the answer. J.P. Morgan can help as you proceed with establishing a private foundation and/or a donor-advised fund. As you consider your charitable giving, please reach out to your J.P. Morgan team to learn more about our customizable services and investment options for each structure and how our teams can help you navigate your individual philanthropic journey.

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